INTERNAL BRIEFING · CLIENT-CONFIDENTIAL

Gossip Miami LLC

Form 1120-S · tax year 2025 · open items for decision

Nine things found while preparing this return that Julia has to decide, answer, or ask the client about. Ordered by what stops the return going out. Every figure here is traceable to the working paper.

STATUS: **NOT TRANSMITTABLE** · PREPARED BY: **LILIAN** · DATE: **2026-08-27** · BLOCKING ITEMS: **2**

TWO OF THESE STOP THE RETURN GOING OUT

Items 1 and 2. Everything else is a decision, a document request, or a disclosure. Those two change **how many returns exist and how many K-1s** — so nothing is transmitted until they are settled.

1 🔴 One return or two — and everything else depends on it

The company was sold effective **30 October 2025**. An S corporation may only have **eligible shareholders** — US individuals, and certain trusts and estates. **If the buyer is a corporation, a partnership, or a non-resident alien, the S election terminated on the sale date.**

WHICH WAY IT GOES	WHAT IT MEANS
If the election SURVIVED	**One** full-year Form 1120-S, and the year's income is split among all shareholders **by days held**.
If the election TERMINATED	An **S short year** (1 Jan – 29 Oct) and a **C short year** (30 Oct – 31 Dec) — **two returns**.

READ THIS BEFORE DECIDING

We are currently working the short-year version. Both are computed. **Nothing can be transmitted until this is settled.**

WHAT TO DO

Confirm what the buyer is, and their tax status.

2 🔴 Two shareholders, or three?

The **filed 2024 K-1s** show **two** members at 50/50. But the **2025 sale agreement names a third seller** — someone who had already sold out in **April 2024**.

WHICH WAY IT GOES	WHAT IT MEANS
She was still being paid	Two payments out of the company's bank account during 2025.
The 2024 agreement has a reversion clause	If a buyer fell more than **60 days** behind on her instalments, part of her shares reverts to the 2024 sellers. **One buyer still owed roughly $53,000** at the time of the 2025 sale.

READ THIS BEFORE DECIDING

If shares reverted during 2025 there were **three** shareholders, there is a **third K-1**, and the income split changes for everyone.

WHAT TO DO

Re-read the 2025 agreement's opening recitals — does it call her an **owner**, or someone **releasing a claim**? Then check the Sunbiz amendments.

3 🔴 Distributions were taken, no salary was paid — and the company now belongs to the buyer

$42,517 distributed in 2025. Zero payroll — no W-2, no 941, no 940. **Same in 2024.** And the ledger shows the company paid **both owners for services — $7,000 — booked as contract labour.** That is the exact fact pattern the IRS re-characterizes as wages.

WHICH WAY IT GOES	WHAT IT MEANS
The tax	Roughly **15.3% FICA** on whatever is re-characterized, **plus** penalties for payroll returns never filed — often larger than the tax itself.
The §199A cost	With **zero W-2 wages**, a shareholder above the income threshold loses up to **20%** of the pass-through income as a deduction.
The indemnity	The liability is the **company's**, and the company is the **buyer's**. If the 2025 agreement carries a tax warranty like the 2024 one did, **our clients gave it.**

READ THIS BEFORE DECIDING

Three routes: **(a)** file as computed and **document the position in writing**; **(b)** late-file 2025 payroll and reclassify; **(c)** reclassify only the $7,000. **An undocumented position is the one that loses.**

WHAT TO DO

Julia decides. The return itself does not change — lines 7 and 8 stay at zero, because that is what the books and the absent payroll filings say.

4 🔴 Schedule B question 14b — signed under penalties of perjury

$248,630 of contract labour, many individual payees, several well above the $600 threshold. **So question 14a is YES.** Question 14b asks whether the 1099s were or will be filed — and **today the truthful answer is NO.** None were filed and the firm was not engaged to file them.

WHICH WAY IT GOES	WHAT IT MEANS
Answer No	Truthful, and it stands on the record.
Or file them late before the return goes out	That makes Yes true — and it is a separate piece of work to scope and bill.

READ THIS BEFORE DECIDING

Answering **Yes** without filing them would be a false statement on a signed return.

WHAT TO DO

Related: no 1099 went to the owners for the $7,000 either — though under the theory in item 3, what was owed there was a **W-2**, not a 1099.

5 🟠 The IRS wants the balance sheet at 31 December — and after 30 October the books stop describing the company

The instructions default to a **31 December** balance sheet. The problem: the sale agreement required the sellers to **empty the company's bank accounts before closing**, so after 30 October QuickBooks shows only the sellers' wind-down — not the business the buyer is running.

WHICH WAY IT GOES	WHAT IT MEANS
At 31 December	Total assets **$29,901** · retained earnings **($1,214)**
At 29 October	Total assets **$35,522** · retained earnings **$5,039**

READ THIS BEFORE DECIDING

We are presenting **31 December**, because that is what the instruction says. Julia should see that the figures describe a wind-down before she signs.

WHAT TO DO

And no, Schedule L cannot be skipped — the exemption needs receipts **and** assets under $250,000, and receipts are **$390,056**.

6 🟠 A February rent that was accrued and never paid

The rent account holds **ten rows**: nine cheques to the landlord, and one — **28 February, journal entry, $5,636** — with **no payee, no cheque number and no bank account**. Its other side is a credit to **Accrued Expenses**, and that account sits at **$5,636 all year: one entry, never reversed.** There is no February cheque to the landlord anywhere in 2,404 rows.

WHICH WAY IT GOES	WHAT IT MEANS
The accrual itself is correct	Nine payments plus one accrual is ten months of rent for ten months of occupancy. On the **cash method** it is properly excluded — which is why the rent line is **$51,202** and not **$56,838**.
What is NOT established	**What happened to the debt.** If it was never paid and the liability went to the buyer, the return as computed is right. But if it was **paid from outside the company's bank account** — an owner's own money, or till cash — then on the cash method it **IS deductible**, and the rent line rises by **$5,636**.

READ THIS BEFORE DECIDING

One trap worth naming: if the debt was simply **netted against the purchase price** or assumed by the buyer, that is **not** a deduction. A price adjustment is between seller and buyer; the company paid nobody.

WHAT TO DO

Ask the client: **was the February rent ever paid, and if so, out of whose money?**

7 🔴 Documents we still need

Three, and each one changes a figure or a conclusion.

WHICH WAY IT GOES	WHAT IT MEANS
The other owner's 2024 Form 7203	Her opening stock basis. **Without it we cannot tell whether her $21,258 distribution is tax-free or a taxable capital gain.** We already have the other shareholder's — hers is fine, no gain.
October 2025 Vagaro reports	**October revenue is understated.** The quarterly true-ups stop at 30 September, so October carries no cash sales, tips, card surcharges or discounts — an estimated **$4,000–$12,000** missing.
Who put the money in	A **$25,140** shareholder-loan balance built from **fifteen anonymous ATM cash deposits with no name on any of them.** We cannot split it between the owners, and that split is required on each K-1.

8 🟠 About $29,901 of revenue the system recorded that never reached the bank

The bookkeeper parked it in an asset account. **It is not cash anyone can go and count — it is a plug**, meaning *“the booking system says this much came in, the bank never saw it.”* It was a few hundred dollars in Q1 and Q2 and **jumped to $28,337 in Q3**.

WHICH WAY IT GOES	WHAT IT MEANS
If it is cash the owners took	It is a **distribution** — total assets drop to zero and distributions rise to about **$72,418**.
If it is tips paid out in cash	It is a **deduction**, and income falls.

READ THIS BEFORE DECIDING

The two answers pull in opposite directions and it cannot be split by guessing.

WHAT TO DO

One question covers both: *“From May 2025 the monthly entry recording cash taken out of the business stopped. The system says about $28,000 more came in during July–September than reached the bank. Where did it go?”*

9 🟡 The tips — smallest of these, but real

$29,065 of tips is in revenue because the company collected it. **No payout has been located anywhere in the books.** If the money really was passed to the workers, the deduction is missing and income is overstated by up to that amount. If it was paid in cash and never recorded, that fits — the books stopped recording cash movements in May.

WHAT TO DO

Worth knowing for the future: the FICA tip credit (**Form 8846**) was **extended to beauty services for tax years beginning after 2024**. This company cannot use it — no payroll, so no employer FICA to credit — **but the firm's other salon clients can, from 2025 onward.**